

WESTWOOD

MarketPulse

The Westwood market barometer

One daily 0–100 reading of market psychology — measured, not guessed —
built on twenty-three years of point-in-time data and the research discipline
of an investment firm.

One number for market psychology

MarketPulse distills the market's emotional state into a single daily score from 0 (extreme risk-off) to 100 (extreme risk-on), presented on a five-zone barometer. It answers the question every client asks first — "*how nervous is the market right now?*" — with a measured, repeatable, explainable reading.

0–100

daily composite score, five named zones

4

markets scored independently: S&P 500, Nasdaq 100, Russell 2000, Dow

23 yrs

of point-in-time history, 2003 to today

3

lenses: market data, news narrative, positioning

The score is built from three families of evidence, echoing how an investment committee actually reads sentiment:

- **Classic** — what the market is doing: price momentum, volatility, credit spreads, breadth. The hard data of risk appetite.
- **Narrative** — what the market is saying: sentiment scored from financial news text. This lens accrues live and is clearly labeled while its history builds.
- **Positioning** — where money is leaning: options activity, volatility term structure, and safe-haven flows.

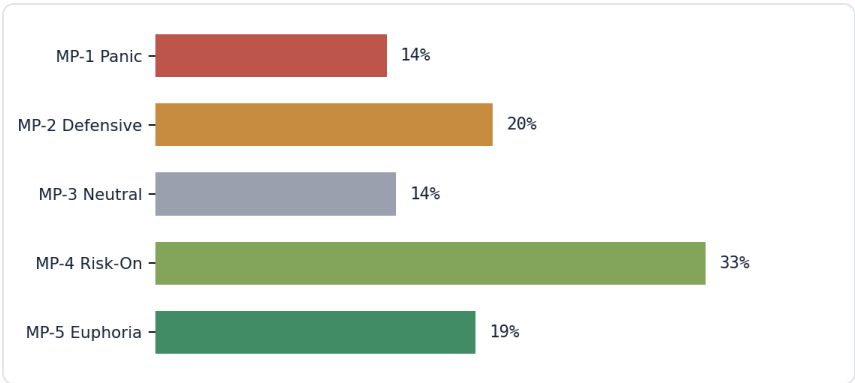
Every reading ships with its regime label, direction, a **data-confidence score**, an honest as-of timestamp, and a plain-English explanation of what moved. The product is deliberately transparent: a public methodology page documents every component.

Why the vocabulary matters. MarketPulse deliberately avoids the "fear and greed" framing of the well-known CNN index. The zones speak the language of institutional risk — *Panic, Defensive, Neutral, Risk-On, Euphoria* — which is more precise, more professional, and ownable as Westwood intellectual property.

Five zones, drawn from evidence

Zone boundaries are not arbitrary quintiles — they are asymmetric bands derived from the historical distribution of market conditions, so each zone means something about frequency as well as level.

ZONE	RANGE	LABEL	READING
MP-1	0–24	Panic	Extreme risk-off; forced selling, stress in credit and volatility.
MP-2	24–44	Defensive	Risk-off posture; havens bid, breadth and momentum deteriorating.
MP-3	44–55	Neutral	Balanced conditions; no dominant emotional signature.
MP-4	55–75	Risk-On	Appetite for risk; momentum positive, spreads contained.
MP-5	75–100	Euphoria	Extreme risk-on; complacency elevated — extremes cut both ways.



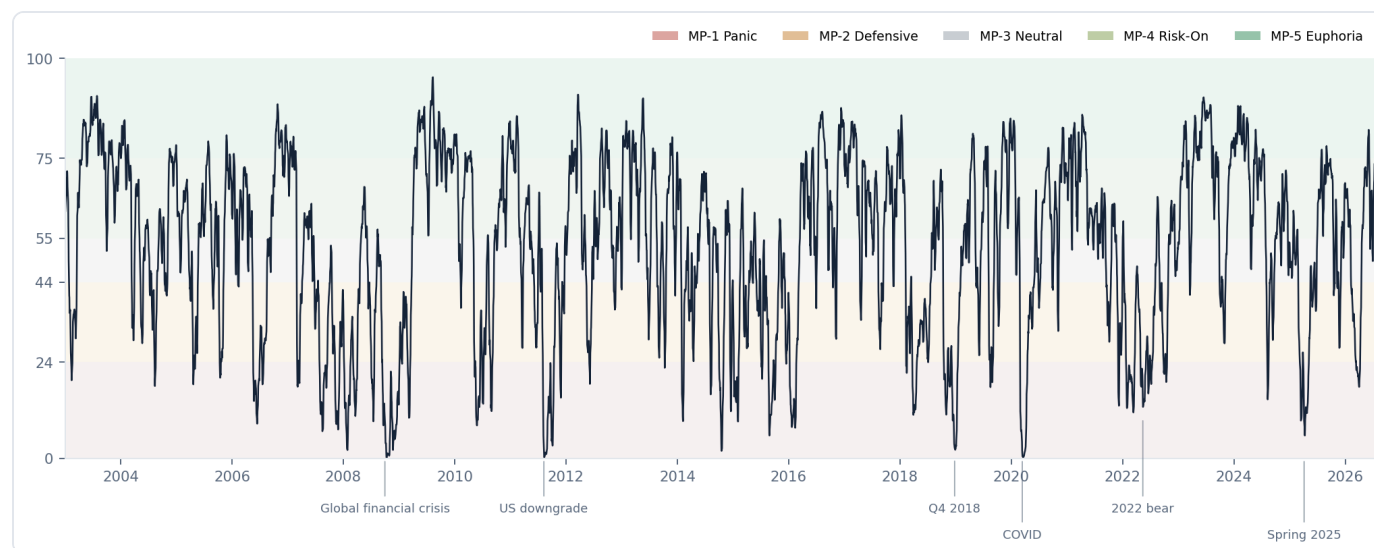
Realized share of trading days per zone, S&P 500, 2003–2026 — the neutral middle dominates; the extremes are rare by construction.

Nine components feed the composite. Four are live today with twenty-three years of point-in-time history — **momentum** (price vs. 125-day average), **volatility** (VIX percentile), **credit spreads** (high-yield OAS), and **safe-haven demand** (equities vs. Treasuries). The remaining components — put/call ratios, breadth, new highs/lows, flows, and news narrative — are staged on the roadmap, each added with the same no-look-ahead discipline.

At extremes the barometer is a **contrarian instrument**: the research literature and our own backtest agree that deep Panic readings have historically preceded above-average forward returns, while Euphoria compresses them. That framing — discipline against the crowd — is the Westwood voice.

Twenty-three years of the barometer

MarketPulse is not a black box launched yesterday. The engine was walked forward through every trading day since 2003 — each day scored using only the data available on that day — producing a genuine point-in-time record across every modern market regime.

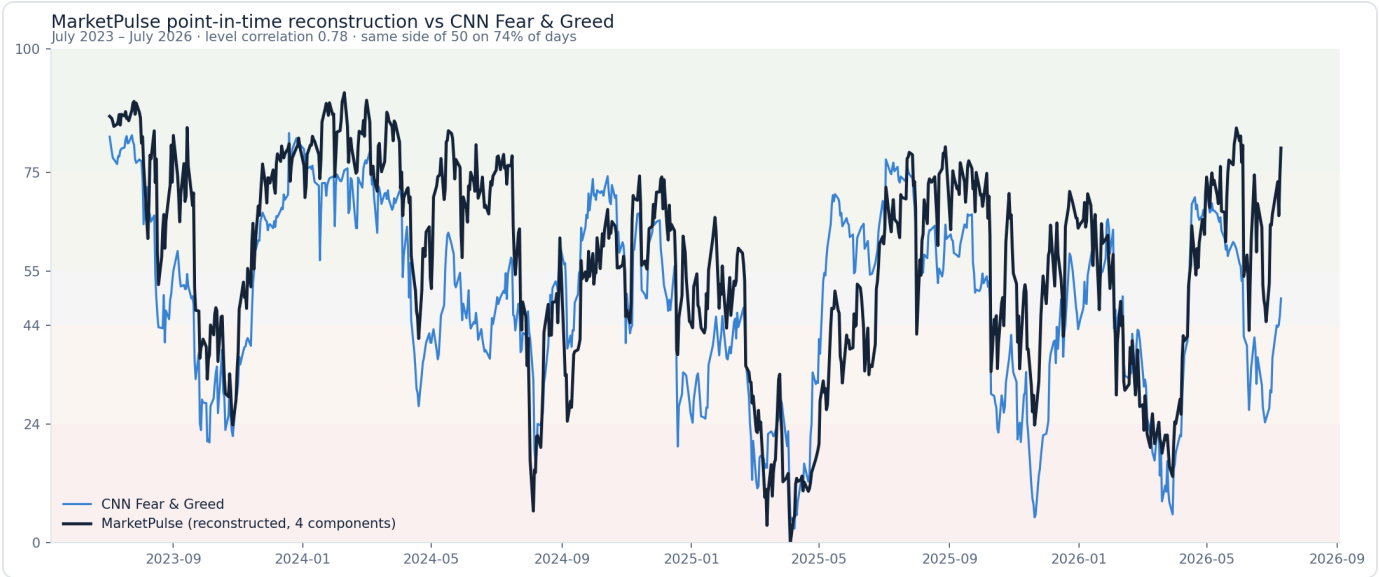


S&P 500 MarketPulse composite, 2003–2026 (5-day average), with the five zones shaded. Every major stress episode registers as a plunge into Panic; every extended bull phase presses into Euphoria.

- The global financial crisis, the 2011 downgrade, the Q4 2018 selloff, COVID, the 2022 bear market, and the spring 2025 stress all print as deep Panic readings — the instrument sees what investors felt.
- History is reconstructed from the four live components (momentum, volatility, credit, safe haven); the narrative lens accrues from launch forward and is excluded from the historical composite — stated plainly wherever the history is shown.
- The same walk-forward engine refreshes the site daily, so the public record and the research record can never diverge.

Same animal, better instrument

CNN's Fear & Greed Index is the category's household name. Over the three years of its published history we can compare against, MarketPulse tracks it closely — and differs exactly where a firm-built instrument should.



MarketPulse point-in-time reconstruction (navy) vs. the published CNN Fear & Greed history (blue), July 2023 – July 2026. Level correlation 0.78; agreement on risk-on vs. risk-off 74% of days.

	MARKETPULSE	CNN FEAR & GREED
Vocabulary	Institutional risk language (Panic → Euphoria), ownable IP	"Fear / Greed" consumer framing
Markets	Four indices scored independently	S&P 500 only
Credit input	True high-yield OAS spreads	Junk-bond demand proxy
Transparency	Public methodology page, per-component breakdown, confidence score on every reading	Component list, limited detail
Narrative	Dedicated news-sentiment lens (accruing live)	None
Honesty layer	As-of stamps, data-source status, reconstruction clearly labeled	—

The +7.6-point average gap vs. CNN reflects composition: two of CNN's most fear-sensitive inputs (put/call and breadth) are still on our roadmap. Adding them is a calibration choice — we can converge toward the benchmark or deliberately keep a differentiated read.

Built like research, run like software

- **Point-in-time discipline.** Every historical value uses only data available on that date; rolling windows are strictly trailing. The backtest engine that validates regimes enforces the same rule — no look-ahead, anywhere.
- **Tiered data sourcing.** Public tier (exchange data, FRED credit spreads) powers the deep history at zero data cost; the **professional tier — Westwood's Bloomberg infrastructure — verifies the most recent sessions** whenever a Terminal is present. Raw licensed data never leaves the building: only derived 0–100 scores are published.
- **Honest by construction.** The public page shows when data is a static snapshot vs. live, the exact as-of time, how many sources are reporting, and a confidence score computed from data quality — not marketing copy.
- **Modern, owned stack.** Python analytics engine and API, analytical database, React front end; deploys as a static site (near-zero hosting cost) or a live API. Fully Westwood-built and Westwood-owned.
- **Embeddable.** A widget endpoint already exists — the barometer can sit on westwood.com, in a partner's page, or inside advisor collateral with one line of HTML.
- **Daily automation.** Scores recompute and republish automatically after each US close; the historical record and the live site can never drift apart.

COMPLIANCE POSTURE

Educational by design

- MarketPulse is an educational market-sentiment indicator — explicitly not investment advice, not a trading signal, and labeled as such on every surface.
- No performance promotion, no product recommendations, no client data — the cleanest possible footprint under the SEC Marketing Rule, pending formal review.
- Sources are public or properly licensed; published values are derived scores, never redistributed raw data.

WHY THIS MATTERS COMMERCIALLY

Three ways MarketPulse earns its keep

Sentiment indices are traffic machines: CNN's index is one of the most visited pages in financial media because it answers a universal question in one glance, every day. Westwood can own that daily habit — in our own voice.

PATH	SHAPE	WHAT IT EARNS
1 • westwood.com	A public MarketPulse page and homepage widget, refreshed daily after the close. Evergreen, self-updating content with genuine daily-return-visit mechanics.	Organic traffic, brand association with disciplined risk measurement, a reason to visit Westwood daily.
2 • Media partnership	Offer a financial news outlet (e.g. MarketWatch) a differentiated sentiment indicator — multi-market, credit-aware, confidence-scored — branded " <i>MarketPulse, provided by Westwood.</i> " The embed widget makes integration one line of code.	Daily brand impressions at media scale; the byline CNN gets today, with a better instrument.
3 • Advisor & client collateral	The barometer as a standing exhibit in decks, commentaries, and the WAL-E weekly brief — one image that frames every market conversation.	A house sentiment framework, used consistently across every client touchpoint.

SUGGESTED NEXT STEPS

- Marketing review of naming, framing, and this document.
- Compliance review of the public site and disclosures (educational positioning).
- Add put/call and breadth components to tighten the benchmark comparison.
- Decide the flagship surface (westwood.com page vs. partnership pitch) and sequence accordingly.

WESTWOOD

*The market, measured — one number, five zones,
twenty-three years of discipline.*